CHAPTER 2: REVIEW OF LITERATURE

2.1 Introduction

Consumer behavior and customer satisfaction are two of the most important concepts in marketing and business management. In the automobile industry, especially in the two-wheeler segment, understanding customer expectations and buying patterns is essential for maintaining market position and improving product performance. Customers today do not focus only on the price of a vehicle; they also evaluate factors such as mileage, comfort, design, maintenance cost, durability, after-sales service, and brand reputation before making a purchase decision.

Honda Activa has emerged as one of the most successful scooters in India due to its reliability, performance, and customer trust. The study of customer behavior towards Honda Activa helps in understanding how consumer preferences influence purchasing decisions and how customer satisfaction contributes to long-term brand loyalty. This chapter presents a detailed review of literature related to consumer behavior , customer satisfaction theories, factors affecting buying decisions, and previous studies conducted in the field.

2.2 Concept of Consumer Behavior

Consumer behavior refers to the study of how individuals make decisions regarding the purchase, use, and disposal of products and services. It involves analyzing customer needs, preferences, attitudes, and buying patterns. Consumer behavior is influenced by various internal and external factors, including personal preferences, social influence, economic conditions, and cultural background.

In the automobile sector, consumer behavior plays a significant role because purchasing a vehicle is considered a major financial decision. Customers generally compare different brands and models before selecting a product that best suits their needs and lifestyle. The decision-making process includes identifying the need for a vehicle, collecting information, evaluating alternatives, making the purchase, and analyzing satisfaction after usage.

Honda Activa has gained popularity due to its practicality, fuel efficiency, and brand image. Understanding consumer behavior towards Honda Activa helps in identifying why customers prefer it over competing products and what factors contribute to customer loyalty.

2.3 Consumer Behavior Factors

Consumer behavior is influenced by several factors that shape purchasing decisions. These factors can be broadly classified into personal, psychological, social, cultural, and economic factors.

Personal factors include age, occupation, lifestyle, income, and personality. Young consumers may prefer stylish and sporty vehicles, while working professionals may focus more on mileage and comfort. Income level also affects the purchasing capacity and brand selection of consumers.

Psychological factors include perception, motivation, learning, and attitude. A customer's perception of quality, reliability, and brand value strongly influences purchasing decisions. Positive experiences and customer reviews can create trust and improve consumer confidence.

Social factors include family influence, peer groups, and social status. Many consumers purchase vehicles based on recommendations from friends and family members. Social image and status associated with owning a particular brand also affect consumer behavior .

Cultural factors relate to traditions, values, and societal norms. In India, scooters are widely preferred for daily commuting due to convenience and affordability. Honda Activa has successfully adapted to the needs of Indian consumers by providing a practical and reliable transportation solution.

Economic factors such as fuel prices, maintenance costs, and financing options also influence purchasing decisions. Customers often prefer vehicles that provide better mileage and lower maintenance expenses, which contributes to the popularity of Honda Activa.

2.4 Theories of Customer Satisfaction

Customer satisfaction refers to the level of happiness or fulfillment experienced by consumers after purchasing and using a product or service. Several theories explain how customer satisfaction is measured and understood in business.

One of the most important theories is the Expectation-Confirmation Theory. According to this theory, customer satisfaction depends on the comparison between customer expectations and

actual product performance. If the product performs better than expected, customers become highly satisfied. If the performance falls below expectations, dissatisfaction occurs.

Another important theory is the Equity Theory, which states that customers compare the value they receive with the cost they pay. If customers believe that the benefits of the product are greater than the price paid, they feel satisfied.

The Value Theory explains that customer satisfaction depends on the perceived value of the product. In the case of Honda Activa, customers often perceive the scooter as providing good value because of its fuel efficiency, durability, and low maintenance costs.

These theories help businesses understand customer expectations and improve products and services to achieve higher satisfaction levels.

2.5 Importance of Customer Satisfaction

Customer satisfaction is one of the key factors that determine the success of a business organization. Satisfied customers are more likely to continue using the product, recommend it to others, and develop long-term loyalty toward the brand.

In the automobile industry, customer satisfaction is extremely important because competition is high and consumers have multiple alternatives available. A satisfied customer not only becomes a repeat buyer but also acts as a promoter of the brand through positive word-of-mouth communication.

For Honda Activa, customer satisfaction contributes significantly to maintaining its strong market position. Factors such as smooth performance, comfortable riding experience, fuel efficiency, and reliable service network help increase customer trust and satisfaction.

High levels of customer satisfaction also help companies improve brand reputation, increase sales, and gain competitive advantage in the market. Therefore, organizations continuously focus on understanding customer needs and improving product quality.

2.6 Advantages, Disadvantages, and Limitations

Honda Activa offers several advantages that contribute to its popularity among consumers. The scooter provides good mileage, comfortable seating, easy handling, and low maintenance costs.

It is suitable for both male and female riders and is considered ideal for city transportation. The strong service network of Honda also increases customer confidence.

However, the product also has certain disadvantages and limitations. Some customers may feel that the scooter lacks sporty design compared to other modern scooters. Others may consider the price slightly higher than competing brands. Additionally, heavy traffic conditions and rising fuel prices can affect customer satisfaction levels.

Despite these limitations, Honda Activa continues to maintain strong demand due to its reliability and overall performance.

2.7 Review of Literature Studies

Several researchers have conducted studies related to customer behavior and satisfaction in the automobile industry. These studies highlight the importance of factors such as product quality, brand image, fuel efficiency, price, and after-sales service in influencing customer decisions. Research studies indicate that consumers prefer products that provide long-term value and reliability. In the two-wheeler market, customer satisfaction is closely related to vehicle performance, comfort, and maintenance costs.

Studies on Honda Activa specifically reveal that customers generally express high levels of satisfaction due to its durability, smooth riding experience, and strong resale value. Researchers have also observed that brand trust and positive customer experience play an important role in influencing repeat purchases. The review of literature helps in understanding existing knowledge related to consumer behavior and customer satisfaction and provides a foundation for further study on Honda Activa.

CHAPTER 3: COMPANY PROFILE

3.1 Introduction

Honda is one of the world's leading automobile and motorcycle manufacturing companies. The company is known for producing reliable, innovative, and fuel-efficient vehicles that cater to the needs of customers across different countries. In India, Honda has established a strong presence in the two-wheeler market through products such as motorcycles and scooters. Among these products, Honda Activa has become one of the most successful scooters in the Indian market.

This chapter presents a detailed profile of Honda, including its history, industry position, ownership structure, product range, market performance, and SWOT analysis.

3.2 Company Profile

Honda Motor Company Limited is a Japanese multinational corporation primarily known for manufacturing motorcycles, automobiles, and power equipment. The company was founded by Soichiro Honda and Takeo Fujisawa in 1948 in Japan. Over the years, Honda expanded its operations globally and became one of the largest automobile manufacturers in the world.

Honda entered the Indian market through Honda Motorcycle and Scooter India (HMSI), which operates as a subsidiary of Honda Motor Company. The company focuses on producing high-quality two-wheelers that meet the requirements of Indian consumers.

Honda is known for innovation, advanced technology, fuel efficiency, and customer satisfaction. The company has built a strong reputation by maintaining high standards of quality and performance.

3.3 Industry Profile

The Indian two-wheeler industry is one of the largest automobile sectors in the world. Two-wheelers are widely used in India because they are affordable, fuel-efficient, and suitable for daily transportation. The industry includes motorcycles, scooters, and mopeds manufactured by various companies such as Honda, Hero, TVS, Suzuki, and Bajaj.

Scooters have become increasingly popular due to ease of use, comfort, and practicality. Urbanization, rising income levels, and increasing traffic congestion have contributed to the growth of the scooter segment.

Honda has established itself as a leading player in the Indian scooter market, with Honda Activa becoming one of the highest-selling scooters in the country.

3.4 History of Honda Activa

Honda Activa was launched in India in 2001 by Honda Motorcycle and Scooter India. The scooter was introduced to provide a convenient and comfortable transportation solution for Indian consumers. At the time of launch, the scooter market was relatively limited, but Honda Activa quickly gained popularity because of its smooth performance, reliability, and fuel efficiency.

Over the years, Honda introduced multiple versions of Activa with improved features, technology, and design. The scooter became popular among people of different age groups and genders due to its practicality and easy handling.

Today, Honda Activa is considered one of the most successful scooters in India and continues to maintain strong demand in the market.

3.5 Ownership Pattern

Honda Motorcycle and Scooter India operates as a wholly owned subsidiary of Honda Motor Company Limited, Japan. The company manages manufacturing, marketing, and distribution operations in India.

The organizational structure includes management teams responsible for production, sales, marketing, finance, customer service, and research and development. The company focuses on maintaining high standards of quality and customer satisfaction.

3.6 Awards, Vision, and Mission

Honda has received numerous awards for product quality, customer satisfaction, and innovation. Honda Activa has consistently ranked among the best-selling scooters in India and has received recognition for reliability and performance.

The vision of Honda is to provide products that improve mobility and enhance customer lifestyle. The company aims to create value through innovation, quality, and environmental responsibility.

The mission of Honda focuses on delivering customer satisfaction through advanced technology, superior products, and continuous improvement.

3.7 Market Position in India

Honda holds a strong position in the Indian two-wheeler market, particularly in the scooter segment. Honda Activa dominates the market due to its popularity, reliability, and customer trust. The company has established a wide sales and service network across India, allowing customers easy access to products and maintenance services. Strong brand image and consistent product performance have helped Honda maintain its competitive advantage.

3.8 Product Range

Honda offers a wide range of two-wheelers in India, including scooters and motorcycles. Popular scooter models include Activa, Dio, Aviator, and Grazia. The motorcycle segment includes Shine, Unicorn, SP125, and Hornet.

Among all products, Honda Activa remains the flagship scooter due to its strong demand and customer satisfaction.

3.9 Comparative Analysis

Honda Activa competes with other scooters such as TVS Jupiter, Suzuki Access, and Hero Pleasure. Compared to competitors, Honda Activa is known for better reliability, strong resale value, and low maintenance costs.

While some competing models may offer advanced features or sporty designs, Honda Activa maintains a balance between performance, comfort, and practicality, making it a preferred choice among consumers.

3.10 SWOT Analysis

Strengths

- Strong brand reputation
- High fuel efficiency
- Reliable performance
- Wide service network

Weaknesses

- Higher price compared to some competitors
- Limited sporty design features

Opportunities

- Growing demand for scooters
- Expansion into electric vehicles
- Increasing urban transportation needs

Threats

- Intense competition in the two-wheeler market
- Rising fuel prices
- Changing consumer preferences

3.11 Summary

This chapter presented a detailed profile of Honda and Honda Activa, including company background, industry position, market performance, and SWOT analysis. Honda's strong reputation, product quality, and customer satisfaction have contributed significantly to the success of Honda Activa in the Indian market.